STAKEHOLDER CONFLICTS AND MANAGEMENT

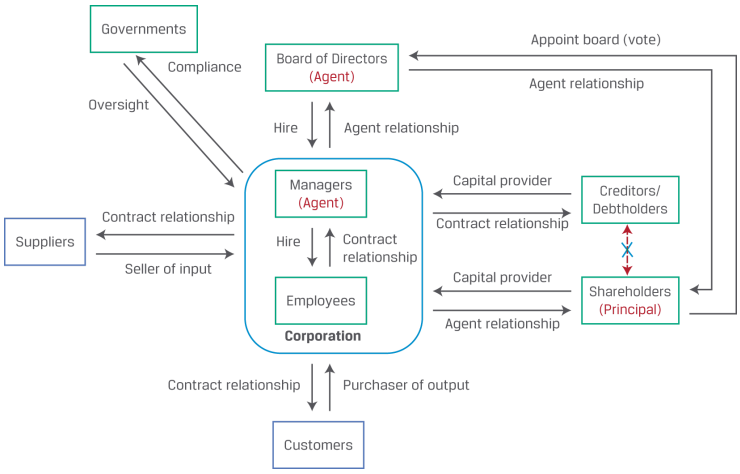
Learning Outcome

- describe the principal-agent relationship and conflicts that may arise between stakeholder groups

A corporation is a legal entity with a complex ecosystem of stakeholders. Corporate stakeholder relationships include contractual, principal-agent, and other relationships as illustrated in Exhibit 1.

Exhibit 1:

Principal-Agent and Other Relationships



A **principal-agent relationship** (or agency relationship) is created when one party (a principal) hires another party (an agent) to perform a task or service and can be present with or without a contract governing the relationship. An agent is expected to act in the principal's best interest, and the relationship involves trust and expectations of loyalty and diligence. In many cases, the agent possesses more information than the principal, which means that the principal is often unable to directly verify that the agent is acting in the principal's best interest. Conflicts arise where the interests of the principal and agent diverge, resulting in **agency costs**, which can be direct, such as the costs of hiring monitoring agents (e.g., a board of directors hiring an auditor), or indirect, like the forgone profits and economic benefits of lost opportunities.

In a corporation, shareholders are a principal and elect directors (an agent), who are expected to pursue shareholders' interests by hiring managers (another agent) to maximize shareholder value. Shareholders and lenders demand higher returns and risk premiums when faced with greater information asymmetry due to the greater potential for conflicts of interest. Principal-agent relationships and potential conflicts arise in several areas within corporations.

Shareholder, Board Director, and Manager Relationships

Directors and managers have more information about a company's performance, risks, and investment opportunities than outsiders such as shareholders and lenders. This information asymmetry lowers shareholders' ability to assess the performance of directors and managers, weakening their capacity to identify and dismiss poor performers. While all

products, and companies with lower levels of institutional ownership and free float.

In practice, compensation is the principal tool used to align the interests of management and shareholders. While management compensation seeks to motivate managers to maximize shareholder value, manager and shareholder interests may diverge in the following common ways:

- Insufficient effort. Managers may be unable or unwilling to make investments, manage costs appropriately, or make hard decisions like shutting down unprofitable business lines. They may conduct too little monitoring of employees or assert too little control, leading to unintentional risks and litigation. Finally, managers may allocate too little time to their role because they are committed to political or charitable activities, personal investments, or serving as directors or managers of other companies.
- Inappropriate risk appetite. Compensation dominated by stock grants and options can motivate excessive management risk-taking, as option holders participate only in upside share price moves. Similarly, little or no use of stock grants and options in compensation plans can lead to unduly risk-averse corporate decision-making and the inability to attract talent. This misalignment may be at odds with the company's value creation objective or shareholders' desire for higher-risk, higher-reward endeavors. Since investors can hold diversified portfolios, they may have a higher risk tolerance than managers, whose reputation and time are concentrated in a single company.
- Empire building. Management compensation and status are typically tied to business size (e.g., total revenues, number of employees), which can incentivize managers to seek "growth for growth's sake," such as acquisitions that do not increase shareholder value.
- Entrenchment. Directors and managers want to retain their jobs. Tactics to do so include copying competitors and peers, avoiding risks, and pursuing complicated transactions and restructurings that they are uniquely suited to manage. Directors may avoid speaking out against management, even if speaking out is in the interest of shareholders or other stakeholders.
- Self-dealing. Managers may exploit firm resources to maximize personal benefits, such as excessive perquisites (private airplanes, club memberships, personal security), or defraud investors by misappropriating assets. The smaller a manager's stake in the company, the less they bear these costs themselves, reducing their desire to maximize firm value.

Knowledge Check: Shareholder and Manager/Director Relationships

1. A construction firm has the opportunity to invest in a high-risk, high-reward capital infrastructure project. Which of the following could be a reason why the company decides not to pursue the project?

   A. The compensation of managers is closely tied to the size of the company's business.
   B. Management receives excessive all-cash compensation.
   C. Management has recently received a generous options reward in the company's shares.

   Hide Solution

   Solution:

   B is correct. When compensation—particularly if it is excessive—is entirely in cash, the risk tolerance of managers may be too low, as they are inclined to protect their cash compensation. Additionally, there may be little upside for them if the project performs well.

secure higher compensation.

C is incorrect, as it would likely lead to an alignment of managers' interests with those of shareholders.

Controlling and Minority Shareholder Relationships

Corporate ownership is generally classified as dispersed or concentrated. Dispersed ownership involves many shareholders, none of whom can exercise control over the corporation. In contrast, concentrated ownership reflects an individual shareholder or a group (known as **controlling shareholders**), who can exercise control over the corporation. The group may involve a family, another company (or companies), or government.

While we have been discussing shareholders as a homogeneous group with shared interests, in fact shareholders are often a heterogeneous group with different interests, such as a founding family with a large percentage of their wealth held in company stock who thus desire management to diversify the company to achieve stability. This desire would be at odds with that of **minority shareholders** who hold diversified portfolios and would prefer that management focus on maximizing shareholder value, as they can diversify cheaply on their own. Conversely, a controlling shareholder may also be a long-term shareholder with a multi-year or multi-decade perspective, while some minority shareholders may seek quick gains from cost cutting, selling assets, or share repurchases. Shareholders can communicate with one another and form voting blocs to advocate for their interests more effectively.

Share ownership percentages alone may not necessarily reflect whether company control is dispersed or concentrated. Differences in shareholder voting schemes, as well as a **share class** with different voting rights, give rise to varying degrees of control among shareholders. In contrast to a simple structure of one vote per shareholder, a **dual-class structure** involves one share class (e.g., Class A) that carries one vote per share and is publicly held and traded and another share class (e.g., Class B) that carries several votes per share and is held exclusively by company insiders or founders. A dual-class structure allows certain stakeholders to effectively control the company even if they do not hold most of the shares outstanding. These stakeholders—who can avoid voting-power dilution if new shares are issued—control board elections, strategic decisions, and all other significant matters. CFA Institute has long advocated against dual-class structures, because they permit one group of shareholders to have disproportionate power and potentially override the will of the majority for their own personal interest. In cases where dual-class structures are legal, CFA Institute advises issuers to clearly disclose such arrangements and their implications for investors. For more on CFA Institute's advocacy on this and other corporate governance topics, visit www.cfainstitute.org/advocacy.

Magna International Inc., a Canadian auto parts company, started off with two classes of shares. Class A shares had one vote per share, and Class B shares had 500 votes per share. The founder, Frank Stronach, and his family were able to control 75% of the voting rights while owning only 3% of the total shares by holding Class B shares. Investors were frustrated that the founder and members of his family secured millions in consulting fees, salaries, bonuses, and stock options despite weakness in the stock price. Shareholders voted for a single-class share structure in an extraordinary general meeting, creating an agreement that Stronach would leave the company after paying out CAD870 million over five years.

Knowledge Check: Dual-Class Share Structure

A. Dual-class share structures can be easily changed over time.
B. Company founders can maintain significant power over the organization.
C. Conflicts of interest between management and stakeholder groups are less likely than with single-class share structures.

Hide Solution

Solution:

B is correct. Under dual-class share systems, company founders may control board elections, strategic decisions, and other significant matters. A is incorrect, because dual-class share systems are difficult to dismantle once adopted as the voting control within dual-class systems is held exclusively by company insiders or founders. C is incorrect, because conflicts of interest between management and stakeholders are *more* likely than with single-class share structures owing to the potential control element in dual-class systems.

Shareholder versus Creditor Interests

Despite their financial claims to the same cash flows of a corporation, the difference in debt versus equity claims gives rise to potential conflicts of interest, as outlined in the previous module. For example, debtholders with a fixed claim tend to be risk averse and prefer that the corporation take actions to ensure sufficient cash flow to meet its debt obligations. For this reason, debtholders tend to prefer that a company raise more equity and limit shareholder distributions. Shareholders, however, tend to prefer greater leverage and shareholder distributions rather than dilutive equity issuance.

This potential conflict is greater for long-term debt, as the passage of time exposes debtholders to changes in business conditions, strategy, and management behavior. As a result, long-term creditors are more likely to impose contractual limits on leverage and shareholder distributions.

Knowledge Check: Stakeholder Relationships

1. A controlling shareholder of Stillcreek Corporation owns 55% of Stillcreek's shares, and the remaining shares are spread among a large group of shareholders. In this situation, conflicts of interest are *most likely* to arise between:

A. shareholders and bondholders.
B. the controlling shareholder and managers.
C. the controlling shareholder and minority shareholders.

Hide Solution

Solution:

C is correct. In this ownership structure, the controlling shareholder's power is likely more influential than that of minority shareholders. Thus, the controlling shareholder may be able to exploit its position to the detriment of the interests of the remaining shareholders. A and B are incorrect, because the ownership structure in and of itself is unlikely to create material conflicts between shareholders and bondholders or shareholders and managers.

EXAMPLE 1

KLD Marine Ltd. (KLD) is a small, debt-free manufacturer of welded metal boats with domestic and international sales in a highly competitive and cyclical market. KLD is the primary employer in a small, remote town. Sales are through a network of dealers, who typically sell three or four different boat brands. Of the company's 50 employees, about half are specialized aluminum welders, with most others in sales and management. The primary purchased input for KLD's boat production is sheet aluminum. KLD's sole aluminum supplier is a large, multi-national company with many clients. KLD has never paid dividends but has substantial retained earnings that finance the company's assets. KLD has recently decided to borrow heavily so it can pay a large, one-time dividend to shareholders.

1. Which of the following stakeholder groups will be most negatively affected by the increase in leverage?

   A. The welders employed by the company
   B. The company's dealers
   C. The supplier of aluminum to the business

   Hide Solution

   Solution:

   A is correct. As employees, the welders could face loss of employment if the company were to become financially distressed with the increase in leverage. And since their skills are very specialized, they would probably have difficulty finding another job locally. In a small and remote town, employment opportunities are likely to be limited for specialized workers.

   B is incorrect. The dealers might suffer lost sales if KLD were to fail, but they could likely replace KLD with a competing brand.

   C is incorrect. The aluminum supplier would probably suffer the least impact, since it is large and KLD is likely not a sizable proportion of its sales.

2. Is it likely that any of these groups would be affected positively?

   Hide Solution

   Solution:

   In all cases, impacts are negative. Note that for modest borrowing, these effects would be minor.

Question Set

1. Which of the following stakeholders are *most likely* to demand higher returns and risk premiums when faced with greater information asymmetry due to the greater potential conflicts of interest?

   A. Directors and managers
   B. Suppliers and customers
   C. Shareholders and lenders

   Hide Solution

   Solution:

   C is correct. Greater information asymmetry increases risk for shareholders and lenders, who will seek to be compensated for taking that risk with a lower share price or multiple and a higher yield on debt investments.

such as shareholders and lenders.

B is incorrect, because while suppliers and customers are outsiders with information asymmetry, their relationship is contractual and not based on investment return.

2. An analyst is examining the governance of several companies in her coverage area and learns that one of the CEOs is highly involved in political and charitable activities. These activities may result in which one of the following misalignments of interests between management and shareholders?

A. Self-dealing
B. Entrenchment
C. Insufficient effort

Hide Solution

Solution:

C is correct. The CEO's outside activities could result in insufficient effort. Managers may allocate too little time to their role because they are committed to political or charitable activities, personal investments, or serving as directors or managers of other companies.

A and B are incorrect, because while they are both examples of misalignments between management and shareholders, they are not the primary concern about management involvement in charitable and political activities, which tend to distract management rather than cause a direct conflict of interest or transaction that is not in shareholders' interests.

3. A _____ corporate ownership structure involves many shareholders, none of whom can exercise control over the corporation.

Hide Solution

Solution:

A dispersed corporate ownership structure involves many shareholders, none of whom can exercise control over the corporation.

4. A company's management team, whose compensation includes significant stock grants and options, is pursuing a large debt-financed acquisition. The management team discusses how this acquisition may not align with the interests of all stakeholders, and it is proposed that they increase equity financing for the acquisition. Increasing equity financing for the transaction would increase support by which stakeholder?

A. Debtholders
B. Management
C. Shareholders

Hide Solution

Solution:

A is correct. Debtholders with a fixed claim tend to be risk averse and prefer that the corporation take actions to ensure sufficient cash flow to meet its debt obligations. For this reason, debtholders tend to prefer that a company raise more equity as opposed to increasing debt to a level that may increase default risk.

B and C are incorrect, because management is aligned with shareholders through stock grants and options, and shareholders tend to prefer greater leverage rather than dilutive equity issuance.

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Solution:

A dual-class structure allows stakeholders to effectively control the company by virtue of their ownership of a share class with superior voting rights. While it is possible for minority shareholders to change voting rights in their favor, it can be difficult and expensive to do so, as illustrated by the Magna International example.

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